

Customer Council Meeting Minutes



10/25/16 Customer Council Meeting

Attendees:

David Beard –MHEC
Donna Beck - MCE
Todd Deak -DPSCS-MCE
Anokhee Desai –DPSCS- MCE
Sandra Filippi – Montgomery County Community College
Constantine Hill- Morgan State University
Ashley Lohr-DPSCS-MCE
Kerry Norberg - Montgomery County Community College
Lida Poole –DPSCS-MCE
BJ Said-Aziz –DGS
Steve Shiloh -DPSCS-MCE

In lieu of the October Customer Council Meeting, MCE conducted a tour of the business units at MCI-W. A detailed schedule is below.

8:30 Prison Industries 101
9:00 Board MCE van(s); depart for MD. Correctional Institution for Women
9:15 Arrive MCIW Visitor's Center for security check
9:45 Welcoming Remarks
10:00 Tour MCIW Housing Unit
10:20 Tour MCE Design Plant
10:40 Tour MCE Mailing &Distribution Plant
11:00 Tour MCE Textile Plant
11:30 Q&A (Warden's Conference Room)/ Adjournment

1/31/2017 Customer Council Meeting

Attending Conference Call: Renard Brooks, Tom Jackson, Lisa Jones, Sandra Filippi, Christina Tabuteau, John West

Attending MCE HQ: Michael Alston, Cliff Benser, Todd Deak, Jillian Hughes, Lisa Jones, Ashley Lohr, Steve Shiloh and Joe Sommerville

Meeting was called to order by Steve Shiloh, Chief Executive Officer, at 9:30 AM

Agenda Item I – Welcome / Introductions: Steve Shiloh

Agenda Item II – MCE Update: Steve Shiloh, MCE CEO

- Good first half – in excess of \$29 million
- DPSCS will be downsizing the prison operations at MCI-H; this will not affect MCE operations. MCE employs approximately 250 inmates at MCI-H and accounts for approximately 40% of our annual revenues.
- FY16 was a record year for MCE, considering performance; MCE has been designated to transfer \$2.5 million to the General Fund for FY18. When MCE succeeds, we are able to reinvest in our customer agencies.
- Brock Bridge Road warehouse renovations are going well; we should be complete by June 2017
- ERP is not going well, we had two unsuccessful bids.
- Legislative session is underway. We hosted two successful events and will attend budget hearings on 2/9 and 2/13.

Agenda Item III – MCE Business Plan: Cliff Benser, Projects

- Approximately half of our eighteen strategies have changed; our two major changes being:
 - Continue to achieve annual sales of at least \$50,000,000.
 - Continue to employ at least 2,000 inmates.
 - A decrease in the prison population and a decrease in state government altered the forecasts
 - Sandra Filippi asked why the delivery strategy had changed; Joe Sommerville noted that industry standards as written in the previous business plan were difficult to measure and research. We continue efforts to decrease delivery times

as a whole company. Overdue orders are measured consistently so that they remain under \$100,000.

- Renard Brooks asked why CARES numbers were not equal to employment numbers; Cliff Benser explained that CARES is a voluntary reentry program located at one facility. Participants must be willing to transfer to CMCF and participate in the six month program. MCE also aims to maintain class sizes to 20-25 inmates to enhance the benefits of the training. Steve Shiloh added that CARES was created to enhance our reentry efforts. Participants must work for MCE for at least one year, be recommended for the program by a plant manager, and be eligible to enter a minimum security facility. During the six month course, offenders study job preparedness, thinking for a change, and financial literacy.

Agenda Item IV – Marketing Division Update: Jillian Hughes

- MCE will attend ten conventions this year, we are just returning from our Annapolis Showcase.
- We are in the process of selecting contract fabrics; we are excited for our new offerings.
- Catalog changes are underway for FY18.
- We have deigned and issued new literature and e-blasts
- I look forward to working with everyone on the council!

Agenda Item V – Sales Division Update: Todd Deak

- Incoming sales for January are \$3.3 million vs. \$3.8 million last year. YTD \$29.9 million vs. \$30 million last year.
- Website sales are doing well - \$340,000 vs \$239,000 last year.
- We are working with marketing to showcase our clearance items.
- The new VINI filing system provides a modern look and cost savings to our customers. We will still offer the traditional filing system as well.
- Upcoming Projects/ Feb-April Deliveries:
 - Frostburg University
 - College of Southern Maryland
 - Bowie State
 - College Park
 - Howard Community College
- Jim Jackson has been hired as our new account representative
- Tom Jackson asked if new designers are being brought on board, Todd noted that we had been able to hire a new designer, Keisha Branscomb and that Terry Hill and Winnie Byers were on the design team. In addition, Erika Ebright has resigned and we are working to replace her.

**Agenda Item V – Council Recommendations, Miscellaneous, Comments & Concerns:
Council Members**

- Ashley Lohr indicated that the Senate Republican Caucus Presentation and Annapolis Showcase were successful and very well received.
- Steve Shiloh thanked Sandra Filippi for her support with UMCP students' demands to stop procurement from MCE. This occurred last year as well, but we were able to show students the benefits of MCE and gain support. We are always open to educational opportunities to share the mission and good work of MCE. Sandra noted she had not heard any additional news regarding the demands and MCE.
- MCE was mentioned in a Baltimore Sun article by Dan Rodricks regarding textile job opportunities for former offenders.
- Joe Sommerville reminded the council that we are always looking to increase our quick ship program. Most quick ship orders are being fulfilled ahead of deadline.
- Cliff Benser noted that the National Correctional Industries Association Directory had been released; reaffirming that MCE remains one of the top correctional industries in the nation. We ranked 7th in regards to inmate employment and 8th in regards to revenues.
- Steve Shiloh thanked the Customer Council and Management Council for helping us to achieve goals.
- New plant tours for calendar year 2017 will be discussed.
- Thank you to all for your support!

Meeting adjourned at 10:15 AM

Maryland Correctional Enterprises
Customer Council Minutes
April 18, 2017
MCE Headquarters – 7275 Waterloo Road, Jessup, MD 20794

Attending Conference Call: Renard Brooks

Attending MCE HQ: Todd Deak, Jillian Hughes, Ashley Lohr, Juanita Singletary-Jones (Morgan State) and Joe Sommerville

Meeting was called to order by Joe Sommerville, Chief Operating Officer, at 9:35 AM

Agenda Item I – Welcome / Introductions: Joe Sommerville

Agenda Item II – MCE Update: Joe Sommerville, MCE COO

- Sales are \$41.9 million through March; this is down \$7.3 million. We anticipate a \$56-\$57 million year.
- We have several upcoming deliveries
- Inmate employment – 2,025
- Open Orders - \$13 million
- \$2.5 million will be transferred to the State General Fund by 6/30/2017
- MCIH is downsizing; MCE currently employs 250-300 inmates in the shop. We will try to maintain employment for 250-260 inmates from the 600 inmate population.
- As always, we strive to maintain our total employment above 2,000 inmates.
- ERP Update – we have been working on acquiring this new system since 2009. Several bids have gone out, but nothing has been successful. DoIT has approved vendor presentations in order to assist in soliciting bids.
- Brock Bridge Warehouse Renovations are underway. It will house an additional warehouse, showroom and clearance items. We anticipate a July or August completion.
- We have revised the inmate handbook; it is currently being reviewed by the Commissioner's Office.
- There will be several upcoming retirements in 2017 and 2018 across business units. Most of these positions are mandated and require a polygraph examination.
- Meat Plant interviews were held yesterday and went well.
- Our Meat Plant Inspections are now being conducted by a private sector company; the final report is forthcoming.
- Thank you to our Councilmembers for the report!

Agenda Item III – Marketing Division Update: Jillian Hughes

- We are focusing on the FY18 catalog
- Our contract seating fabrics have been selected; we are in the process of designing the fabric card.
- We are already into convention season; we will attend several throughout the spring and summer.
- We will focus on our classroom furniture at conventions.
- We are introducing “Conference Cash”
- We will also be issuing some “daily deals” literature.
- We updated our custom upholstery flyer.
- We are updating literature as we develop.
- We are in the process of creating company videos; the first will be a MCE overview.
- Our Spring Newsletter is being developed. The Winter Newsletter is included in your folders.
- We are working hard to design the showroom for the new warehouse; we anticipate to complete this by the end of summer.

Agenda Item IV – Sales Division Update: Todd Deak

- Incoming orders for April are \$1.2 million vs. \$3.7 million last year.
- YTD sales are \$43.8 million vs. \$41.9 million last year.
- Website sales are up to \$481,000 vs. \$356,000 last year.
- We have a new account representative – Rhonda Bell
- Our annual SHA uniform meeting was positive; they will be changing their logo.
- Sales and Marketing presented at a DHR/ DSS procurement meeting and provided a MCE overview; it went well. We are available for presentations if any agency is interested.
- Deliveries for the College of Southern Maryland, Bowie State, Howard Community College and College Park are ongoing.
- Morgan State, Frederick Community College and Hagerstown Community College will be delivered in May.
- We will begin large dorm installation projects and delivery at the new Youth Detention facility in the summer.

Agenda Item V – Council Recommendations, Miscellaneous, Comments & Concerns: Council Members

- Ashley Lohr noted that a few bills had passed in the legislature encouraging the states reentry efforts
- The General Fund Transfer was initially issued for FY18, but was amended to FY17

- Renard Brooks asked for an update on the MCE/ Made in Baltimore Tour.
 - o Ashley noted that we are working with Made in Baltimore to provide post-release employment opportunities to offenders. Our Reentry Director, Anthony Morgan, will be heading these efforts. We will keep the council informed of any updates. Mr. Brooks requested Mr. Morgan contact him.
- No additional comments, concerns or recommendations from the Council.
- Thank you to the Council for your continued support!

Meeting adjourned at 9:57 AM

Maryland Correctional Enterprises
Customer Council Minutes
July 25, 2017
MCE Headquarters – 7275 Waterloo Road, Jessup, MD 20794

Attending via Conference Call: Sandra Filippi and John West

Attending MCE HQ: Todd Deak, Jillian Hughes, Ashley Lohr, Stephen Shiloh and Joe Sommerville

Meeting was called to order by Stephen Shiloh, CEO, at 9:35 AM

Agenda Item I – Welcome / Introductions: Stephen Shiloh

Agenda Item II – MCE Update: Stephen Shiloh

- DPSCS is temporarily closing Polar Hill Prerelease Unit and closing the Jail Industries Building
- Population reduction has occurred at Maryland Correctional Institution – Hagerstown. We operate four business units out of this facility; we are told population will not decrease further.
- MCE News
 - o We met with DPSCS regarding our ERP system. They concur with upgrading immediate network concerns. We are looking to revise and shorten original bid document via a RFR. We have gone out to bid twice on a new ERP, but have not received any viable bids.
 - o Wrapping up FY17; revenues are just under \$59 million. Another good year – thank you for your support!
 - o \$2.5 million has been transferred to the General Fund
 - o Our official inmate count for FY 17 was 2,042 inmates employed at year end therefore we did achieve our goal of employing over 2,000 offenders. That goal will be very difficult to achieve this fiscal year.
 - o Our Fiscal Department is finalizing our financial statements; we should be in the black regarding profitability.
 - o Senator Gail Bates has been appointed to our Management Council; she is a supporter of MCE.
 - o Renovation of Brock Bridge Road Warehouse is nearing completion.
 - o Our business luncheon is scheduled for September 29th – hope you can make it!

Agenda Item III – Marketing Division Update: Jillian Hughes

- FY18 Catalog is complete and our website has been updated to reflect changes
- New items include task chairs, apparel and outdoor furniture
- The catalog design focuses on our recidivism efforts
- Fabric Contract is complete for the next three years
- Summer conventions are complete with the exception of MACO
- We are in the process of designing a showroom for the new warehouse. We will begin installation once construction is complete. We will be in touch later this year with details on the grand opening!
- Business Luncheon is Friday, September 29th
- Marketing materials have been provided for your review.
- Joe Sommerville noted that Jillian and her team are making a “model” showroom. Everything will be manufactured by MCE. Once the warehouse is operational, all non-furniture items will ship from this location. The warehouse will provide employment to 15-20 inmates.

Agenda Item IV – Sales Division Update: Todd Deak

- We are closing out FY17
- Quickship sales were over \$1.2 million
- Website sales increased to \$617,000
- K-12 sales were down \$152,000
- FY18 incoming sales are at \$2 million vs. \$5 million last year
- We are installing the Baltimore City Youth Detention Center and a College Park Building
- New quick ship chair – New Windsor w/ arms
- Terry Hill (Design Manager) is out, but hopefully will be back sometime in August

Agenda Item V – Council Recommendations, Miscellaneous, Comments & Concerns: Council Members

- Sandra Filippi asked if we could store interim orders if facility is not ready; MCE provides that for customers as long as it is a reasonable timeframe. We understand construction delays.
- Thank you for your support; enjoy your summer!

Meeting adjourned at 9:56 AM

Maryland Correctional Enterprises
Customer Council Minutes
April 24, 2018
MCE Headquarters – 7275 Waterloo Road, Jessup, MD 20794

Attending via Conference Call: Todd Deak, Anokhee Desai, Constantine Hill, Ashley Lohr, Renee Milburn, and Steve Shiloh

Meeting was called to order by Stephen Shiloh, CEO, at 9:35 AM

Agenda Item I – Welcome / Introductions: Stephen Shiloh

Agenda Item II – MCE Update: Stephen Shiloh

- Tom Jackson (Dept. of Health) will be retiring at the end of June – thank you for your support of MCE over the years. We wish you well in your retirement.
- NIC Security Assessment Audit was scheduled for the first week of April, but has been rescheduled with a pending date prior to September 30th.
- MCE News:
 - Sales at the end of first half (December) were in excess of \$25 million – down 14% as compared to same period last year
 - FY16 and FY17 were record years, but this year's goal to hit \$50 million will be a challenge
 - We were at \$38.4 million through the third quarter
 - Inmate employment is down to the low 1,700s due to decreased revenues and staffing issues
 - The new Brock Bridge Road Warehouse is almost complete; we hope to hold our October meeting there
 - We are still attempting to procure an ERP system; this has been a struggle for several years
 - We were not negatively impacted by legislation this year
 - Todd Deak, Mark Rowley and Stephen Sanders attended this year's NCIA Conference on behalf of MCE

Agenda Item III – Marketing Division Update: Anokhee Desai

- MCE will attend four conferences in May and June as an exhibitor
- We are in the process of updating the catalog; customers will see those changes in July
- A new Marketing and Sales Plan has been written
- We are sending out new employee and promotional e-blasts
- A new clearance e-blast was sent to customers

- We have provided samples of our Daily Deals e-blast as well as our most recent newsletter
- Our Positive Pathways literature and video have been updated
- We are excited to open our new showroom; it will showcase a large variety of our products. It is located on Brock Bridge Road about five minutes away from our current headquarters.
 - Clearance items will be available at the showroom, but will initially only be on sale for state agencies. We may open sales to public afterwards as we are able to sell surplus goods that were manufactured more than one year ago.
- The new catalog will be available in a print and online version; access to the catalog does not require a login.

Agenda Item IV – Sales Division Update: Todd Deak

- Incoming orders - \$37 million; down 25%, but should be picking up
- Website sales - \$475,000
- Capital Projects - \$11 million
- Quick ship remains popular
- New showroom is opening soon and looking great
- MCIW Design Plan will be closed until we can hire additional staff
- The NCIA Conference took place in Atlanta and was very informative. We are looking into new furniture lines and textiles equipment that was showcased. Conference was well attended and our employee, Stephen Sanders, was nominated for the honor roll.
- Upcoming capital projects for:
 - Towson
 - PG Community College
 - University of Baltimore

Agenda Item V – Council Recommendations, Miscellaneous, Comments & Concerns: Council Members: Steve Shiloh

- No additional comments, suggestions or concerns
- Next meeting will be held on July 24th via conference call
- We will hold October meeting at the new warehouse
- Thank you for your support!

Meeting adjourned at 10:00 AM

Maryland Correctional Enterprises
Customer Council Minutes
October 30, 2018
MCE Headquarters- 7275 Waterloo Road, Jessup, MD 20794

Attended Meeting: Stephen Shiloh, Joseph Sommerville, Todd Deak, Cliff Benser, Cynthia Tims, Eric Lomboy, and Tyrese Jackson

Attending via Conference Call: John West, Calvin Johnson

Meeting was called to order by Stephen Shiloh, CEO, at 9:30 a.m.

Agenda Item I- Welcome/ Introductions: Stephen Shiloh

Agenda Item II- MCE Update: Joseph Sommerville, Chief Information Officer

- Finishing up FY 18 financial statements for the General Accounting Division. MCE has a bottom line of 6.99% or \$3.845 million profitability.
- House of Delegates-
 - Phase 1- Due December of 2018- \$333k order value ordered 6 months ago hope to deliver in November
 - Phase 2- Due December of 2019- \$1 million order value
 - Working 6 to 7 weeks of overtime to get this completed. Longest lead time we've ever had
- FY19 Sales thru September- \$11.5 million- \$15.5 million today /down \$2.3 million from last year (\$50 million anticipated sales)
- Inmate Count-1619/down 300 from last year due to staff shortages(25% vacancy rate)
- Conducting Interviews for Graphics Regional Manager today
- New warehouse renovations basically complete – Currently painting the outside of the building due to complete next week. We've had some humidity issues which prevented us from finishing up the showroom
- ERP- little movement on this
- ACA audit-%100 compliance for the 4th time on 8 mandatory and 74 non mandatory requirements. Auditors commented- MCE one of the best industry they've ever audited
- Holding our Annual Showcase in Annapolis at the HOD in January
- MCE will be hosting a tour for the country of Georgia in November
- MCE will also have a tour on Election day for Mexico
- MCE will be having an annual holiday lunch for our inmate workforce which is the highlight for the men and women each year
- Community Service
 - Annual Bea Gaddy- Thanksgiving turkeys 11/2/18
 - Annual Antietam Battle event- providing candle boxes and printed literature

- Micah's Backpack-providing food for poor school children. Providing donation boxes for inmates to give commissary food items.

Agenda III –Review of MCE Business Plan: Cliff Benser, Project Consultant

- Simple changes have been made during our Annual Business Plan Review
 - Objective # 1.1.1.
 - Date Changed from ~~2020~~ to (2021)
 - 1.1.1.2- Changes
 - Performance Measure ~~–Annual Review of customer data to be compared to FY 2017 baseline data~~ to (Annual review of top 10 customers data to be compared to data from three prior FY (2015,2016,2017))
 - Members ~~–Removed Director of Marketing, Cost Accountant, CIO, Rotating Plant Mgr., Design Mgr.~~ added (IT Manager)
 - 1.1.1.3- Changes
 - Performance Measure -Replaced the word ~~measure~~ with (report).
 - Members - ~~CFO, CIO, Inventory Manager, CDO.~~ (Added IT Manager)
 - 1.1.1.4- No changes made
 - 1.1.1.5- Changes
 - Strategy- Replaced the word ~~Collaborate~~ with (Network)
 - Performance Measure- changed- ~~Annually document contacts with other state correctional industries~~ to (Compile an annual FY report identifying relevant best practices & additional venture opportunities)
 - Members- Added (Other State Rep)
 - 1.2.1.1- Changes
 - Strategy- Replace word ~~semi-annual~~ with (Biennial)
 - 1.3.1.1-No changes made
 - 2.1.1.1-Changes
 - Objective ~~–Continue to employ at least 2000~~ (Continue to employ inmates while maintain a safe staff to inmate ratio)
 - Strategy- Investigate inmate employment opportunities ~~through expansion of existing facilities, the creation of new business units, and the identification of additional inmate job functions~~ (based on industry standards as recommended by the National Institute of Corrections and National Correctional Industries Association (ACA))
 - Performance Measures- ~~Inmate Employment achieved in each fiscal year.~~ (Maintain an appropriate number of civilian staff members in order to ensure a safe, secure, & efficient workplace.)
 - MCE has 2 projects that are in the capital improvement program- 1 JCI and ECI restoration plant
 - MCE will be writing a new meat program- looking at a different location
 - 2.1.1.2- Deleted

- 3.1.1.1- Changes
 - Members- ~~CIO~~-added IT Manager
- 3.1.2.1.- Changes
 - Strategy- ~~Evaluate delivery time by product grouping~~ to (Weekly evaluation of overdue orders)
 - Members- Added- (Administrative Assistant to COO)
- 3.1.2.3.- Deleted
- 3.1.3.1.-Changes
 - Chairperson-Removed ~~Project Manager~~-added (IT Manager)
 - Members- (Chief Information Officer)
- 4.1.1.1.-Changes
 - Objective- ~~2018~~ to (2019)
 - Strategy- ~~For cross training~~ to (improve staff development)
 - Performance Measures- ~~Cross training program~~ to (Staff development)
 - Members-~~Guest Trainer from PCTC, MFR Participants 2017~~ to (MCE Training Committee)
- 4.1.2.1.-Changes
 - Objective- ~~By June 2018, establish and implement additional initiatives to improve teamwork and morale~~ to (Continue and enhance opportunities to improve communications between headquarters and field staff.)
 - Strategy- ~~Explore~~ to (Identify)
 - Performance Measures- ~~Identify~~ to(Explore)
 - Chairperson- ~~Executive Assistant~~ to (Director of Marketing)
 - Members- ~~Director of Marketing, Administrative Staff, MFR Participants 2017~~ to (Chief Operating Officer, Operations Manager, Regional Managers, Plant Managers)
- 4.1.3.4.-Changes
 - Objective- ~~Research, Identify~~ to(Establish)
 - Strategy- ~~Conduct a survey to Develop a committee to research~~ and (identify an employee)
 - Performance Measures- ~~Establish and~~ (Implement an employee recognition program by June-~~2018~~ to (2019)
 - Chairperson- ~~Director of Marketing~~ to (Accounting Representative)
 - Members- ~~MFR Participants 2017~~ to (Departmental Volunteers)
- 4.1.4.5.-Changes
 - Objective- Streamline paperwork and processes by updating policy and procedures across business all units.
- 5.1.1.1.- No Changes
- 5.1.2.1.-Changes
 - Strategy- Identify business and community partners as resources for inmate workers upon release. (Businesses, community partners and economic resources to enhance inmate employment upon release.)

- 5.1.3.1- Changes
 - Objective- (Increase modern, technical training opportunities for offender's inmates.
 - Chairpersons- ~~CIO and Operations Manager~~
 - Members- ~~CIO~~ to (IT Manager)
- Any recommendation for improvement to our Business Plan is welcomed
- Our goals are based upon the laws contained in the Correctional Services Article

Agenda IV – Marketing Division Update: Joe Sommerville, Chief Operating Officer

- 50% Capacity in Marketing. We had 4 people - now down to 2
- Selling Blue Catfish as requested by DGS and MDA - So far 32 Cases ordered!
- We have redone our Building Positive Pathways literature
- MCE At a Glance- Snapshot of our successes
- Daily Deals- Updated every other month or so
- Started our new Catalog which comes out each July- We have already started our update for next year
- Busy season for our 2 people

Agenda V – Sales Division Update: Todd Deak, Sales Director

- Capital Projects
 - Howard Community College
 - University at Shady Grove
 - Montgomery Community College
 - Harford Community
 - Morgan state University
 - Prince Georges Community College
- Wrapping up a lot of specification to get this out to customer
- PO for Hagerstown Community College-
- Brendan Iribe College Park-just started yesterday. 1st capital project of the fiscal year
- Incoming Sales for October as of yesterday- \$3.8 million- \$4.3 million last year
- YTD sales -\$16.4 million vs. \$17.6 million last year
- Website Sales through October- \$54K -last Oct \$46K (YTD \$240K- last year \$183K)
- Quickship Sales YTD- \$377K- last year \$334K (\$1.2 million in QS sales last year)
- Promoting
 - Blue Catfish
 - Rolled Sticker Capability
- We picked up another blanket PO for PG County Restoration job

- MVA - printing numerous forms, manuals and hang tags
- House of Delegate is one of our important / high profile projects

Agenda VI -Comments and Concerns

- This is the last meeting for calendar year 2018. The law requires us to have 4 a year.
- Meeting dates for 2019 will be sent to Council members in early January. Meetings generally conducted in last week of January, April, July and October.
- Eric Lomboy (DGS)-
 - Maryland E- Market Place goes live July of next year. We would like to work with MCE on your new catalog.
- Mr. Shiloh thanked everyone for their support and patronage, also wished everyone a safe and happy Holiday Season. We will see you in January 2019

Meeting adjourned at 10:30

Management Council Meeting Minutes



Management Council Meeting
December 7, 2016
Jessup, MD

Attending: Judge Pamila Brown, Commissioner Dayena Corcoran, Melvin Forbes, Phil Holmes David Jenkins, Ashley Lohr, Fred Mason, Sarah Myers, Joe Sommerville, Jack Weber and Alice Wirth.

Meeting called to order by David Jenkins at 9:05 AM

David Jenkins – Welcome and Introductions

Joe Sommerville - CEO Update

- Steve called to meeting regarding furthering work opportunities for visually impaired offenders.
- FY16 was a record-breaking year:
 - o \$61.4 million (previous high was last year at \$54.1 million)
 - o Had bottom line of \$3.2 million or +5.3%; inmate employment at FY end was 2,035
 - o Our current Business Plan Goals are a 3% bottom line and employ a minimum of 2,000 inmates
- FY 17 Sales thru November at \$23.7 million, off to a slower start than last year
- Inmate wait list at 1,012 (October) – higher than normal
- MCE hosting a tour of the Maryland Senate Republican Caucus on 12/14 at our JCI Business Units #115 and #119
- Also having our second “Annapolis Showcase” in the House of Delegates on January 26th; will be displaying our products and services to the elected officials
- After internal discussions within the Department it was decided to not proceed further with the MCE reorganization study. This is in consideration of the probable reorganization and consolidation of the State Government.
- MCE obviously played a very important role in the development and manufacturing of the new “Maryland Proud” license plate. We exceeded all of the dead lines that were given to us and MDOT and MVA both very pleased with our performance
- MCE once again participated in our perhaps most significant community service project – that being of course the annual Bea Gaddy Thanksgiving Dinner event. This year we deboned, cooked, sliced, packaged and delivered over 7,000 pounds of turkey.
- ERP – having difficulty getting vendors to bid on the project. Bid due dates have been extended several times, next one is this Friday – 12/9
- Brock Bridge Road Warehouse renovations are now well underway, projected completion is Spring 2017 with cost of approximately \$2.1 million.
- Proposed revisions to the MCE Inmate Regulations and Compensation Handbook are being worked on; once completed will be reviewed with the Management Council.

- Bad news department: retirement of Lida Poole, Director of Marketing and resignation of Karen Dullnig – CIO, who is taking a job with the Federal Government
- Thank you for your continued support! Have a wonderful holiday!
- Jack Weber and Judge Brown noted that MCE should consider ways in which to expand our relationship with the legislature.
- Joe Sommerville noted that no general funds were transferred in FY16 and that we have seen some improvements with recruitment.
- Commissioner Corcoran noted that the hiring struggles continue statewide and the Department is working to continuously improve processes and candidate selection.
- Melvin Forbes noted that as a senior member of the Council, he has witnessed MCE triumph over many obstacles. He mentioned that more efforts should be put into sharing the MCE story. MCE has come a long way, but there is still work to be done.
- Commissioner Corcoran will speak with the Director of Government Affairs, Rachel Sessa, to discuss legislative support.
- David Jenkins added that the agenda would be shifted to allow for Council conflicts.

Management Council Member Reports

- Melvin Forbes – We are anticipating several changes with the new administration; as always, we hope for good things.
- Judge Brown – I would like to discuss the opportunity to hold a showcase for judiciary members after discussing the idea with leadership and Steve.
 - Dave added a thank you for the institutional library donations
- Alice Wirth – Although three new employees have been hired, we still face many vacancies. Two principals are retiring and three librarian positions are open or need to be reposted. Good news – DLLR has been awarded a \$41,000 grant for diesel mechanic training which will be done in conjunction with Vehicles for Change. Phil noted that the Governor would be attending a ceremony on Tuesday to witness a signing of a hiring partnership between VFC and MTA. This has the potential to impact hiring practices in Maryland Counties as well. Three of DLLR's institutional automotive program will take part.
- Jack Weber – Focus remains on finding jobs for returning citizens. Chester France is looking for staff with previous sewing experience to come onboard with his new venture – The Chill Session. This organization will manufacture religious garments and offer additional opportunities to returning citizens. It is set to open in September of 2017 in southwest Baltimore. We are working on expanding apprenticeship programs to also receive college credits. I am still pushing for fund reallocation. I would also like to voice my concern regarding struggling initiatives such as ERP. I would like to see MCE expand and move forward. Would it be possible to develop an internal ERP system?
- Fred Mason – We were able to register 10,346 new voters for the primary in Baltimore City through our outreach program. An additional 5,128 voters registered for the November election. Several returning citizens participated in voter literature distribution – program was a success! Voter turnout in Baltimore City doubled from 2012. Morgan is

conducting a study regarding financial deserts. There is also a study being conducted linking lead paint poisoning to criminal activity. Commissioner Corcoran is not aware of a standardize lead poisoning test for offenders.

- Sarah Myers – Office has officially moved – we are facing a lot of turnover. Due to vacancies I am now acting as the Executive Assistant for Director Glenn Fueston; I will continue duties on the Management Council board. VOCA funds have been distributed to 99 state agencies and non-profits.
- Phil Holmes – VFC is hoping to open a new site in PG County. I hope to see many folks at the MOU signing

Commissioner Corcoran - DOC Commissioner of Correction Update

- New payroll system has gone live; we are working diligently to correct issues.
- We are working with HR to fill vacancies.
- Many employees are eligible to retire; we are working to motivate and retain staff.
- The women's detention center in Baltimore has closed. Offenders have been relocated throughout Jessup and Baltimore.
- We will be closing a portion of MCIH.
- We are looking into starting a cadet program.
- A new initiative will begin this Friday in conjunction with the Baltimore Police Department. Offenders will speak in their communities to deter community members from a life of crime. We are excited about this partnership and initiative.

Ashley Lohr – Miscellaneous

- Minutes from the past Customer Council meetings are included in your folders. Some new members were given the opportunity to tour the plants in October.
- Newsletter and Council Report are included for your review.
- Two documents from Washington State highlight importance of offender preparedness.
 - Executive Order from Washington State Governor encouraging agencies to come together to increase employment opportunities for returning citizens. We anticipate the Governor's JRA to have a similar impact in Maryland.
 - Sarah Myers noted that the JRA Oversight board will meet for the first time in January.
 - Washington State College study highlights the positive effect on the prison population during incarceration and post-release.

David Jenkins - Inmate Concerns Update

- Health and safety concerns have been investigated and are being corrective. Inmates at the Furniture Restoration Plant created a new, efficient manufacturing process which resolved ventilation issues. We are very proud and impressed by their innovation.

David Jenkins - 2017 Meeting Schedule

- Wednesdays will no longer work for meeting dates. We will be in touch to discuss the best options.

David Jenkins – Financial Planning Update

- Literature was sent out and is included in your folder. We will also implement six, one hour training sessions in financial literacy for offenders. We hope to start at MCIW where the need seems to be the greatest.
- We are looking into modifications needed on the inmate banking system to implement these savings.
- This is something that would benefit the entire prison population; we will look into sharing our literature and resources.
- Six Council members voted to move forward with the financial planning. Absent members will be surveyed via email.
 - o Judge Pamila Brown
 - o Commissioner Dayena Corcoran
 - o Phil Holmes
 - o Sarah Myers
 - o Jack Weber
 - o Alice Wirth

Closing Comments

- CARES graduation will be held Monday, December 19th at 5:30 PM
- Phil Holmes expressed his support and gratitude for the leadership and support received from Steve Shiloh. Steve and the MCE team are doing great things! The Council concurred that Steve has done great work for MCE.

Meeting adjourned at 10:40 AM

Management Council Meeting
April 12, 2017
Jessup, MD

Attending: Barbara Bice, Joseph Evans, Melvin Forbes, Philip Holmes, David Jenkins, Ashley Lohr, Fred Mason, Sarah Myers, Steve Shiloh, Joe Sommerville, Alice Wirth and Nikki Zaahir

Meeting called to order by David Jenkins at 9:05 AM

David Jenkins – Welcome members and guests

Steve Shiloh - CEO Update

- March 2017 YTD Sales are at \$41.9 million; this is down 7.3% from last year. We anticipate a \$56-57 million year. Decrease is in part due to the one-time election cart project we completed in FY16.
- Inmate Employment – 2,035
- March Open Orders - \$13.9 million
- Joe noted some upcoming/ current capital projects:
 - Current
 - Edward State John Building – College Park
 - College of Southern Maryland
 - Bowie State
 - Morgan State (Production)
 - May
 - Howard Community College
 - June
 - Youth Detention Facility
 - UMBC
 - Towson
 - UMES
- MCE is required to transfer \$2.5 million to the state general fund this fiscal year.
- MCIH is downsizing to less than 900 inmates. We operate meat, upholstery, laundry and two metal shops and employ 250-275 inmates.
 - Alice Wirth noted that 60 DLLR students were lost due to inmate transfers and two contractual teachers will not have their contracts renewed.
 - On days MCE is not fully staffed, inmates will perform other institutional duties.
- ERP – No viable bids. We believe that this is partially due to the length of the RFP. This process has been ongoing since 2009. Per the recommendation from DoIT we are bringing in software companies for demonstrations.
- Fred Mason – It would be beneficial for MCE and DLLR to further partner and expand opportunities for offenders.

- Sarah Myers noted that the majority of the JRA will take effect October 1, 2017. Once the Department begins to see savings, they will be reinvested into training and educational programming.
- Alice Wirth noted that Secretary Moyer expects the prison population to drop below 20,000 inmates.
- Fred Mason asked if the manufacturing in Maryland bill would affect MCE, we do not see an immediate impact.
- Renovations to our new warehouse are underway; we anticipate a mid-July completion. The 60,000 square foot building will act as an additional warehouse, showroom, sales offices and clearance items. We are excited for the new space!
- Several staff members will be retiring that have been part of the MCE family for 25-30 years. We will lose good people and their experience. Recruitment remains a challenge.
- We are working on succession planning; however, Workday will only allow us to “double PIN” positions for up to 30 days.
- A private sector company has taken over meat plant inspections.

David Jenkins – Financial Planning Update

- Michele Singletary currently delivers a financial planning seminar to CARES participants, but we would like to make these principles available to offenders that are unable to participate in the CARES program. Since MCIW has the least access to CARES, we will be starting the pilot program there.
- Judge Brown will be assisting in recruiting volunteers to facilitate the program.
- 8-10 women will attend the six session pilot. A beginning questionnaire has been included in your folders.
- The Financial Literacy workbook was created by our Graphic Designer – an employee and returning citizen.
- The first class starts today; we will have a full report in June.
- For right now, this program is only being offered to MCE workers at MCIW.
- We are also looking into an escrow and matching system for the future.
- Steve Shiloh thanked Dr. Dave for his efforts in producing this training – great job!

David Jenkins – 2017 Inmate Concerns Survey

- This is conducted every year as an annual requirement and to improve conditions for offenders.
- We randomly select offenders to participate in the survey and results are collected anonymously.
- We survey 10% of our workforce population; each plant receives a minimum of five surveys.
- Historically, responses vary differently from plant to plant.
- Any major safety issues are forwarded to COO, Joe Sommerville.
- Phil Holmes asked Dave to comment on the behavior of MCE workers vs. general population – Dave noted that we do not collect statistical information on this; however,

wardens comment on how important MCE is to an institution. Phil also asked if we survey correctional staff on MCE operations; we currently do not. Steve Shiloh noted that inmates with infraction within 90 days of their application will not be hired and depending of the severity of the infraction they can be terminated. He also noted that MCE jobs are the most highly sought after in our prisons.

- Melvin Forbes asked if inmate pay concerns were resolved. Steve noted that pay is a concern across state and sectors. MCE has revised the inmate handbook, which includes an updated scale converted from base pay to hourly pay. The handbook is in the Commissioner's Office awaiting review. We pay approximately \$2.5 million each year in inmate wages and are the highest paying jobs in the institution. Dave noted that salary is the lowest scored category on the survey; however, it still receives an average rating. Senator Muse submitted a bill this year to study institutional wages, but it was withdrawn.

Ashley Lohr – Legislative Update

- A bill was introduced by the union that had the potential to transfer additional PINs from their current Special Appointment status to skilled service / collective bargaining status. We opposed this bill and it was not voted on in the House or Senate.
- We also provided written testimony in support of a bill that would waive some negligent hiring liabilities for employers that offered employment to returning citizens. This bill did not pass.
- A bill passed which eases the ability for former drug offenders to qualify for assistance programs.
- The legislature also passed a bill that would allow the JRA Council to reinvest savings from JRA into vocational training and post-secondary education.
- Although, not related to the legislature, we have been receiving some negative attention from colleges that consider MCE to be “slave labor.” We are working with our communications office to correct this misconception. MCE was invited to host a former offender panel by the Howard University School of Social Work Student Association Council. This was very well received and beneficial to the students and our staff that participated. Other prison industries nationwide are also facing slave labor misconceptions.
- Melvin noted that the Council is willing to help MCE when the mission is under question.
- Phil asked if we could have non-MCE inmates discuss prison life without MCE.
- Fred noted that more should be done to educate the public. The majority of folks will not go inside of an institution so we need to find more means to educate them and tell our story.

Ashley Lohr – Manufacturing in Maryland

- Based on the Annual Survey of Manufacturers, MCE accounts for only a small share of manufacturing in Maryland. According to these statistics, we are not negatively impacting private sector sales and jobs.

- It is worth noting that our largest market share percentage is from the textiles sector. We were contacted by “Made in Baltimore” regarding the need for a skilled and trained workforce specifically in the textiles industry. After a tour of our textiles operation at MCIW, several Local employers have expressed interest in offering post-release employment opportunities for offenders.

Management Council Member Reports

- Delegate Folden is our new Delegate Representative; he is also a fulltime Police Officer in Frederick County
- **Fred Mason** – Officially retired.
- **Barbara Bice** – It is financial literacy training month; glad to see that this is becoming available to students and former offenders alike.
- **Sarah Myers** – GOCCP is currently assessing the impact of legislation. We have two new grant funds, Internet Crimes Against Children and the Community Programming Fund. The majority of the JRA implementation will begin on October 1st of this year. We are in a state of emergency regarding the opioid crisis. Staff shortages continue after the move to Crownsville.
- **Joe Evans** – We may need to look into having an alternate USM member due to scheduling conflicts.
- **Alice Wirth** – We are hiring a new coordinator and three new librarians. Our Fiscal and Procurement Administrators are leaving this month. During the interim, we do not know who will be handling reports. We have maintained an 88% pass rates for GED tests. We are hoping to hit 500 graduates next quarter. We have a meeting to discuss bringing educational tablets into institutions. Several states have already implemented this program. We are also looking to being limited internet behind the fence in order to update Adobe software for our graphics training. MCIW is beginning a barbering program. The Vehicles for Change Diesel program is underway; offenders will receive 150 hours of training behind the fence, transfer to Vehicles for Change, and hopefully transition into jobs with the MTA.
- **Phil Holmes** – Received an email from a returning citizen, Anthony, who will be in a University of Baltimore video. He will soon be graduating with his Bachelor’s degree and has been accepted into a Master’s Program.
- **Nikki Zaahir** – The average starting salary for Vehicles for Change participants is around \$30,000. We will be hosting a reentry forum on April 26th at 6:00 PM. Anthony Morgan (MCE Reentry Director) and former offenders will be in attendance. Please invite others to attend.
- **Melvin Forbes** – I recently attended a meeting with PG County Sherriff and the Army; they will be working together on a project. I have been asked to be a HUD advisor for the new administration. This board is so significant and important; every member makes a difference on a daily basis and I will do my best to help where I can.
- Fred noted that the Financial Literacy training is very well done. Morgan State University has released their financial desert study – Mastering Your Card, Empowering Communities. Research has found that 17% of adults in Baltimore City have no accounts

and that 20% are working with alternate financial groups. There will be five forums centered around financial literacy for residents. It is imperative that we create incentives for people to stay in the community and focus on economic development.

Membership Update – David Jenkins

- Phil and Fred will be retiring and moving off of the board in September. They have recommended potential members to take their place. We thank them for their hard work and dedication to the Council!
- A Senator will be appointed to the Council. We were informed that this would occur after session which has just ended.
- We will send our recommendations to the Secretary for approval.
- We will more than likely have 5 to 6 new members in the fall.
- We appreciate your involvement and support!
- Our next meeting will be held on June 14th

Meeting adjourned at 11:00 AM

Management Council Meeting

June 14, 2017

Jessup, MD

Attending: Dayena Corcoran, Joseph Evans, William Folden, Melvin Forbes, John Gontrum, Philip Holmes, Jillian Hughes, David Jenkins, Ashley Lohr, Sarah Myers, Joe Sommerville, Jack Weber, Alice Wirth and Nikki Zaahir

Meeting called to order by David Jenkins at 9:05 AM

David Jenkins – Welcome members and guests

Joe Sommerville - CEO Update

- Thanks for all you do!
- FY 17 YTD sales thru May 2017 - \$53.5 million; heading for a \$58 - \$59 million year!
- May Inmate Employment – 1987; we have a shortage at MCIW, JCI and MCIH
- Current waitlist for MCE jobs statewide is down to 710 inmates, largely due to MCIH downsizing; highest number on the waitlist this fiscal year was in February where the number was 1027
- May Open Orders strong at \$10.8 million
- MCE required to transfer \$2.5 million cash to General Fund prior to 6/30/17
- Downsizing of MCIH has now occurred, from last meeting you know this is a concern for us
- ERP – basically no progress, now having vendors present to us their systems, CAO Mark Rowley recently met with someone that Council Member Melvin Forbes recommended.
 - Mr. Forbes noted that MCE is in need of a new system as our current system is very outdated.
- Brock Bridge Road Warehouse renovations remain on schedule for a projected completion in mid-July 2017; will conduct a future MC meeting at that location when complete. Jillian and the Marketing team have done a great job designing the showroom!
- Proposed revisions to the MCE Inmate Regulations and Compensation Handbook have been approved by the Commissioner and will be reviewed with the Management Council today
- Retirements and staffing remain a concern, currently have 146 filled positions out of 186 authorized positions; this equates to a vacancy rate of 21.5%
 - Phil Holmes asked what our plans were to combat vacancy rate; Joe noted we are continuing to work with HRSD. They are helping to recruit and fill vacancies.
- Meat Inspection – now utilizing private sector company since federal USDA afraid to enter prison, first inspection we received a score of 92.7 – which is very good.
- Steve and the Commissioner are members of a committee that has been meeting to respond to a lawsuit from Blind Inmates concerning several things including access to

MCE jobs. Commissioner Corcoran noted that the DOC is already doing a good job offering services and accommodations to the blind prison population.

- June historically has been our busiest month, both with taking care of last minutes orders from customers and our end of year audited inventory.
- As always, we want to thank the Council for your support of MCE

David Jenkins – Financial Planning Update

- The MCE workforce was in need of financial literacy training. Pilot program sessions just concluded and was well-received by the eight participants. We will need to look into adjusting timing and schedules.
- We are investigating the possibility of implementing an escrow system with DPSCS; this would require additional funding and a change in the current banking system.
- DLLR does offer some financial literacy training, but not in every institution.
 - Melvin Forbes asked if we could make the training available online – due to security constraints, this is not a possibility. Alice Wirth did not that a tablet program was being released to institutions on a pilot basis. These tablets have a course focused on financial literacy. Sarah Myers noted that funding for financial literacy may become available with the implementation of JRA.

Dave Jenkins – 2017 Inmate Concerns Survey

- We had a 98-99% return rate for the survey.
- Categories remained the same as last year. Scores were similar to previous years (out of ten):
 - Health and Safety – 8.4
 - Training – 8.2
 - Salary – 6.1
 - Promotional Opportunities – 6.9
- Immediate safety concerns were reported to the COO; overall shops are doing well.
- Tenure ranges greatly.
- We may change the collection and documentation procedures next year.
- Phil Holmes asked if inmates received performance evaluations and if raises were available – MCE offers both. We are also working with DLLR on a competency-based certificate program for MCE.
- Delegate Folden asked how inmate pay at MCE compares to other correctional industries nationwide – Joe Sommerville noted that our wages are average. Delegate Folden also noted that inmates should receive some feedback from the survey to increase information share. Melvin Forbes agreed that feedback and information is important. MCE will discuss this need at the next operational meeting and report back to the Council. Jack Weber confirmed that understanding more of the “why” would be helpful in promoting MCE. The Commissioner noted that information that is to be disseminated will need to be reviewed. Nikki Zaahir noted that employers are looking for workers who have a financial. Business mindset. Additional efforts to share operational information with inmate workforce may prove to be beneficial for former offenders seeking employment.

- Dave noted that MCE will work on this goal for the next scheduled Council meeting.
- Delegate Folden and John Gontrum noted concerns about the survey rating system; the 1-10 scale needs more guidance and clarity. The experience of the workforce may not be fully depicted through the current questions and rating system.

Joe Sommerville – Revised Inmate Handbook

- We made some changes to the inmate handbook to encourage cohesion across business units. The Handbook had not been reviewed since 2011; the revised copy will be distributed on July 1st.
- Goals of the new handbook: pay consistent and measured hourly; team/ line leader compensation included; CARES program added; standardization on prohibited rules and actions. Please contact Joe with any questions.
- Jack asked if the handbook was public record – yes; it will be distributed to all inmates and can be requested.
-

Jillian Hughes – Customer Service Survey

- Survey conducted annually in categories of:
 - Customer Satisfaction
 - Prices
 - Quality
 - Delivery Time
- MCE received an overall rating of good in all categories; all categories also saw an improvement from last year's ratings.
- We encourage participation in the survey and run an annual raffle for participants.
- Participation in the survey has doubled from last year.

Jillian Hughes – Catalog/ Pricing Changes

- Catalog will be released July 1st
- A list of new products and price changes have been included in your folders
- We have seen an increase in quick ship and website sales.

Ashley Lohr – Management Council Review of Goals

- FY17 goals and progress was reviewed; new recommendations approved.
- Phil Holmes recommended the addition of a goal focused on investigating internship opportunities.

Member Reports

- **Commissioner Corcoran**
 - We are working on recruiting more workers for MCIH. Institutional internet policies are consistently looked at; internet access creates a major safety concern.

- o The depopulation of MCIH continues; we may see more moves in the future as the population goes down. Reorganization will continue.
 - o We have a new HR Director; we still face challenges in finding applicants
 - o Our staff member in charge of the inmate banking is retiring.
 - o We are working on changing the contact policy for MCE former offenders.
- **Delegate Folden**
 - o Agrees that inmate access to internet creates a safety concern
- **Sarah Myers**
 - o GOCCP continues push for the JRA implementation. Janet Lane is our new Director of JRA.
- **Melvin Forbes**
 - o Era of portability is coming
- **Nikki Zaahir**
 - o Continuing to train former offenders; 55 lives touched in the past two years – only one person has been rearrested.
 - o We are very proud of the work we are doing!
- **John Gontrum**
 - o I am looking forward to my membership on the Council.
- **Joe Evans**
 - o Great job on recent USM deliveries.
 - o Please send information on standing desks – Joe Sommerville to follow-up.
- **Alice Wirth**
 - o We received a GOCCP grant for our diesel program.
 - o We have applied for a grant for a barbering program.
 - o 447 offenders have passed their GED exam as of June 8th. We have an 85% pass rate compared to the 78% national average.
- **Jack Weber**
 - o Recently hired a CARES graduate
 - o I recommend looking into safely embracing the internet
- **Phil Holmes**
 - o This will be my last meeting; I have enjoyed my membership
 - o Dave Jenkins and Joe Sommerville thanked Phil for his dedication and support! He has been a great supporter and friend to MCE and will be missed!

Meeting adjourned at 11:15 AM

Management Council Meeting
September 13, 2017
Jessup, MD

Attending: Judge Pamela Brown, Delegate William Folden, Melvin Forbes, John Gontrum, Jeff Hughes, David Jenkins, Ashley Lohr, Sarah Myers, Mark Rowley, Steve Shiloh, Joe Sommerville, Jack Weber, Alice Wirth, Nikki Zaahir

Meeting called to order by David Jenkins at 9:07 AM

David Jenkins – Welcome members and guests

- Senator Gail Bates has been appointed to the Council
- A new representative from MSDE is also being appointed by the next meeting
- Jeff Hughes has been nominated for appointment through the AFL-CIO
- For the time being, I will continue to act as chair

Steve Shiloh - CEO Update

- FY17 was a good year despite minor sales decrease; we ended the year at \$59.1 million
- Noteworthy Business Unit Sales:
 - Upholstery – Over \$9 million
 - Meat - \$8.9 million
 - Tag - \$6.1 million
- We have an unaudited operating profit of 6.25% prior to our \$2.5 million transfer to the State's General Fund
- Our financial audit will be completed prior to October 1st deadline; we will also be sending projected fund balance reports per a request from DLS.
- Inmate employment was 2,042 vs. 2,035 last year
- Business Plan goals regarding sales, profits and inmate employment were all met in FY17
- FY18 is starting out slow. At the end of August our sales were \$7.5 million vs. typical \$9 million
- Joe Sommerville – Capital Projects summary:
 - We have delivered \$1.7 million in capital projects so far in FY18 and have \$5.9 million on order. We are estimating \$12.4 million in projects this year; we average between \$10 and \$12 million on an annual basis
- Downsizing of MCIH has occurred; however, we have been reassured prison will remain open.
- ERP – we will update current system and rewrite our RFP for a new system. This has been an ongoing project for nine years.
- Mark Rowley highlighted struggles of the ongoing project; we hope to have a new system selected by the end of FY18. Full implementation will occur over several years.
- Judge Brown suggested we look at other correctional industry databases as a model.

- Melvin Forbes noted that after touring the business units he was amazed at the creativity and skill levels of the inmates in creating manual systems that currently take the place of a modern ERP. He noted that the AS400 is extremely antiquated.
- Judge Brown asked if the Council could be of assistance; Steve noted that we are now headed in the right direction and we would advise if further assistance was needed from the Council.
- Jack Weber noted that MCE should be an independent state agency as this would be beneficial to our ability to function in alignment with a business operation.

David Jenkins – Inmate Concerns Survey Update

- Insert is being presented as a suggestion from the last meeting
- Delegate Folden summarized previous concerns which included a confusing rating scale and a lack of adequate explanation of findings.
- Jack Weber and Delegate Folden expressed a recommendation for increasing inmate wages after a review of correctional industry wages from other states.
- MCE staff will review wages and have proposals at the next Management Council Meeting.
- Dr. Dave provided updated suggestions for wording on the next Inmate Concerns Survey. The Council agreed that the rating scale should include definitions of Unsatisfactory, Satisfactory and Outstanding. A new model will be provided in December.
- The Management Council voted to distribute survey results to inmates as-is:
 - Jack Weber motioned, Judge Brown seconds, all in favor
-

David Jenkins – Financial Planning Update

- Distribution handouts are similar to what was given at the last meeting. Pilot program went well; we will continue to look for volunteers to teach MCE training. These are being taught to MCE workers who do not have access to DLLR Financial Literacy Training or Michele Singletary's class through CARES.
- The Council voted to continue with the program
 - Judge Brown motions, Steve Shiloh seconds, all in favor
- Folden asked how an escrow plan would work if it were implemented. Steve and Mark explained that more research would be needed as DPSCS institutions handle the direct payment of the inmates. Delegate Folden requested that a detailed process explanation be forwarded to him regarding inmate pay process from MCE. Judge Brown agreed that this would be beneficial. MCE staff will research and provide.

Management Council Member Reports:

- Jack Weber – had the pleasure of providing federal testimony in Washington DC with MCE employee Thomas Lane regarding increasing educational training and job opportunities for offenders. In the past three months, Uptown Press has hired several former offenders and over 100 in total.

- Melvin Forbes noted that we need to highlight the great work that is being done and show how the system is working.
- Judge Brown – Things have been very busy as a result of the appointment as Administrative Judge for the District Courts of Howard and Carroll counties.
- Nikki Zaahir – Hoping to open Vehicles for Change location in Prince George's County this spring. We are working with PG Community College and Catholic Charities to enhance opportunities for offenders. Only one of our participants has reoffended since program implementation.
- Alice Wirth – work continues with our tablet implementation; this appears to be a very beneficial program. We are starting a six week life skills pilot program. Our education program achieved an 86% pass rate; giving 493 offenders GEDs. We still face staffing issues; our average hiring time is 4-8 months.
- Jeff Hughes – Thank you for the welcome and I look forward to this opportunity. Our concerns focus on staffing and JRA implementation.
- John Gontrum – Noted that the DPSCS Commissary contract will end in December 2017; now is the time to seek clarification on what banking system is currently in place.
- Melvin Forbes – Reiterated that the ERP needs to be replaced. He would like to discuss efficiency further with MCE staff.
- Sarah Myers – JRA will go into effect October 1st; we are preparing and will oversee implementation. Janet Lee has been designated to head the implementation.

Council Recommendations, Comments, Concerns:

- Ashley Lohr – CARES has been relocated to Dorsey Run Correctional Facility; we are looking to replace our vacant Reentry Director position as soon as possible and looking to ease transition struggles.
- Dave Jenkins – Council recommendations have been provided, please review
 - Judge Brown motions to approve, Alice Wirth seconds, all in favor

Meeting Adjourned: 10:50 AM

Management Council Meeting
December 13, 2017
Jessup, MD

Attending: Senator Gail Bates, Judge Pamila Brown, Commissioner Dayena Corcoran, Joseph Evans, Melvin Forbes, John Gontrum, Jeff Hughes, David Jenkins, Ashley Lohr, Fred Mason, Sarah Myers, Mark Rowley, Steve Shiloh, Joe Sommerville, Jack Weber, and Alice Wirth

Meeting called to order by David Jenkins at 9:06 AM

David Jenkins – Welcome members and guests

Steve Shiloh - CEO Update

- FY18 Sales are at \$20.85 million which is down 13.5% from last year. Our largest declines are shops 119, 122 and 125 due to decreased production of the new license (FY17 was inflated due to roll out) plate and customer delays in capital projects.
- Open Orders - \$12.5 million
- Inmate employment is down 10% due to MCIH downsizing and decreased civilian staff.
- Safety and security remain a top priority in lieu of events in North Carolina. The Deputy Commissioner would like us to investigate conducting a Security Assessment of our shops through the National Institute of Corrections.
- We will hold our inmate holiday sub luncheon next week
- ERP – minimal progress
- Brock Bridge Road Warehouse is nearing completion; we hope to have occupancy next month.
- MCE vacancy rate is at 24%
- CARES program – down two positions
- 3rd Annual Annapolis Showcase will be held on January 25th
- Have a happy and safe holiday season!

Dave Jenkins and Joe Sommerville - Inmate Payroll Update

- Based on data collected from NCIA, MCE ranks 20 out of 51 states for inmate pay. The average pay is \$123.45. MCE currently pays \$116.83 and takes no deductions (i.e. room and board, etc.). It is unknown if these deductions occur in other states. Specifics on self-sufficiency or the correctional industry is also unknown for all states.
- Jack Weber asked if we could identify revenues from other states and how they compare with wages; results varied.
- Melvin Forbes asked if higher wages affect recidivism rates; this has not been studied to our knowledge.
- Dave Jenkins and Joe Sommerville will collect available data pertaining to deductions and revenues for the next meeting.

Dave Jenkins and Mark Rowley – Financial Planning Update

- The possibility of an inmate pay raise and savings plan is being discussed in conjunction with our efforts to enhance financial literacy.
- We are looking at an inmate pay raise that would go into effect July 1, 2018 if approved by DPSCS Administration. This pay raise would be 5% and average to twenty-six cents a day per inmate (approximately \$125,000).
- We are also looking to invest additional funds into an inmate savings or “scholarship” program for eligible inmates. Specifics on this would need to be developed via a subcommittee to continue to align goals with the Justice Reinvestment Act. Topics to consider include:
 - What program will look like
 - Who will be eligible
 - What are the inmates’ financial obligations?
- Judge Brown asked to consider the effects on morale would be if some options were not made available to all inmate workers and noted that many financial concerns such as liens and restitution must be paid upon release.
- Senator Bates asked if inmates received pre-release counseling concerning financial obligations, etc.
- Commissioner Corcoran noted that JRA will require restitution payments during incarceration.
- Dave Jenkins noted that DLLR teaches financial literacy in some institutions and that MCE only teaches the course to the CARES class and a few groups at MCIW.
- Fred Mason asked what the variation was between time served and savings.
- Dave mentioned that it varies greatly, but he would work on compiling specific information.
- Melvin Forbes suggested that the savings workgroup be given suggested criteria.
- Senator Bates noted that she supported the idea of a scholarship/ training fund.
- Jack Weber asked if we could have a discussion about increasing wages higher than 5%.
- Dave Jenkins noted that at this time, that is the best option. More research would need to be conducted.
- Judge Brown stated that she believed MCE staff had looked at the numbers and logistics and based the suggestion on that. She noted that a work group could investigate more possibilities.
- John Gontrum asked where the figures came from, Steve noted that factors considered were funds transferred, civilian employee sentiment, commissary prices and reentry savings. John and Melvin confirmed that we were voting for an immediate 5% inmate pay raise and the formation of an inmate savings committee.
- **Vote 1:** The MCE Management Council votes to propose a MCE inmate wage increase to the Department of Public Safety and Correctional Services Administration. If approved, wage increases would take effect July 1, 2018. Judge Brown motions, Steve Shiloh seconds. All voting members in favor except for one opposition by Jack Weber.

- **Vote 2:** The MCE Management Council votes to investigate the feasibility of an interest bearing savings account for offenders. MCE may also consider a savings matching program and/or funded training program in its investigation. Preliminary findings shall be presented at the July 2018 Management Council Meeting. Senator Bates motions, Melvin Forbes seconds. All voting members approve. Judge Brown, John Gontrum and Jack Weber will participate in the workgroup.
- Fred Mason asked for clarification on current savings program; Commissioner Corcoran noted that some inmates do have outside savings accounts.

Mark Rowley – Budget Committee Report

- DLS requested submission of a fund balance and cash balance for FY18 and FY19. This was submitted to DPSCS for review and final submission. We have not yet received a response.

Ashley Lohr – Reentry Update

- We have lost two members of our reentry team and have been unable to fill their positions. Recruitments have gone out.
- Current cohort is being taught by DLLR – thank you for your partnership and assistance!
- Our program will be on hold until we can get staff on board.
- Dave Jenkins provided a brief overview of our CARES program for new members.
- Senator Bates asked if we had any certificate training, if not, it is something we should work towards; Dave noted our only current program is our meat cutting apprenticeship. Jack mentioned DLLR also offers training courses. Alice Wirth noted we have experienced issues in getting online testing into the institutions.

Council Chairperson – Dave Jenkins

- **Vote 3:** Senator Bates and Delegate Folden have been nominated to serve as co-chairs for the Council. Judge Brown motions, Steve Shiloh seconds. All in favor.

Miscellaneous Recommendations, Comments & Concerns

- Judge Brown requested to be sent an invitation to the Annapolis Showcase.

Management Council Member Reports

- Commissioner Corcoran
 - Deputy Commissioner Wayne Hill worked with NIC for many years. He would like an overview of our security procedures compared to North Carolina
 - We want to maintain safety as a priority.
 - JRA – MCE participation increases diminution credits
 - Recruitment concerns continue; we are working with HR to resolve
 - \$5,000 bonus for new correctional officers
 - Less staff = less available programming
 - Nationwide, law enforcement and corrections are struggling with hiring

- Ashley Lohr
 - FY17 Management Council Report has been punished
- Senator Bates
 - Session starts back up again in January
- Fred Mason
 - Nice to meet everyone
 - First round of school construction recommendations have been made
- Sarah Myers
 - JRA implementation has begun; we are working through kinks.
 - Violent Crime Initiative announced by Governor Hogan will be led by GOCCP
- John Gontrum
 - Keefe Contract renewal was presented at BPW meeting; staffing was given as reasoning for new bid delay.
- Joe Evans
 - Thank you to MCE! Assistance with our relocation project was a great experience.
- Jack Weber
 - A graduate of the OSTC DLLR program established a post-release house. Of the seven men housed there, four are employed with my company. Many are CARES graduates.
- Mark Rowley
 - ERP is not moving. Over the past six years we have spent \$500,000 trying to get the bid on the street. We hope to hire a new IT Manager and bring in a SME.
 - We will have a short term procurement to stabilize our current system.
 - Hoping this procurement will go out in mid-January
- Alice Wirth
 - We did not get our barber grant, but we are looking for funding elsewhere
 - I attended a licensing study meeting for a three year workgroup that is hoping to eliminate barriers to certification. Senator Bates noted she would like to be involved in this effort.
- Melvin Forbes
 - I am impressed with MCE staff based on challenges, but concerned about the delay in our technological advancement.
 - Merry Christmas and Happy New Year
- Jeff Hughes
 - Working on a new contract; there are staffing concerns with agencies across the board.
- Judge Brown
 - We are beginning JRA eligibility hearings – JRA is a work in progress
 - Erin Dance has just been appointed
 - Happy Holidays

- Dave Jenkins
 - Recently had the opportunity to tour Rhode Island CI; interesting experience
 - Have a wonderful holiday!

Meeting Adjourned: 11:04 AM

Management Council Meeting
March 14, 2018
Annapolis, MD

Attending: Senator Gail Bates, Joseph Evans, Delegate William Folden, Melvin Forbes, John Gontrum, David Jenkins, Ashley Lohr, Fred Mason, Sarah Myers, Steve Shiloh, Joe Sommerville, Jack Weber, Alice Wirth and Nikki Zaahir

Meeting called to order by David Jenkins at 9:12 AM

David Jenkins – Welcome members and guests

Ashley Lohr – Legislative Update

- A few bills with potential impact:
 - HB1552 – MCE will provide informational testimony this afternoon; bill may limit continued partnerships with subcontractors in regards to delivery, installation, etc. John Gontrum requested additional information and was referred to Rachel Sessa, Director of Government Affairs.
 - HB628 – Requires reporting information regarding inmate wages and classifications.
 - HB1075 – Would include MCE in Preferred Provider Pricing Committee; MCE currently reports to DGS
 - SB12 – Single Plate bill; received unfavorable report
 - HB11 – Unfortunately withdrawn; thank you to Delegate Folden for submission.

Senator Gail Bates – Senate Update

- Almost at crossover – things are moving! Budget bill is on the floor. Committee has heard numerous bills regarding education, environment, alcohol laws and commemorative days.
- We are presenting two bills today concerning a robotics club and aide to farmers.

Steve Shiloh - CEO Update

- FY18 Sales are at \$33.2 million – down \$3.5 million/ 9.6% from last year. Three business units seeing a decline are our furniture production, tag and graphics shop respectively due to delayed capital projects, decline from last year's MD Proud Plate production, and general sales decline. (in contrast our Quick Copy Shop is up 50%).
- Open Orders are down \$2.2 million from last year
- Inmate employment is down to 1,743 due to MCIH downsizing and recruitment difficulty. Our priority remains to keep staff safe especially in light of tragedy in North Carolina. We will not meet our MFR goal.
- MCE once again ranked among the top ten correctional industries – 8th in revenues and 6th in inmate employment. Thanks to staff and supporters for helping us achieve this goal.
- Several Upcoming Audits:

- NIC Safety and Security Audit – We have been conducting self-audits in preparation
- ITCD Asset Audit – No response received
- DGS Fixed Asset Audit – No response received
- OLA – Due any day
- Inventory/ Annual SB & Co. Audit
- ACA Accreditation Audit
- ERP – No movement
- Brock Bridge Road – Complete! We will begin moving in next week and possibly hold our next meeting there.

Delegate Folden – House Update

- Withdrew HB11 per request of administration. Would like to resubmit with more background information.
- HB1075 was withdrawn; however, Delegate Folden intends to work with Delegate Wilson regarding bill language over the summer.
- Collaboration of Management Council is a benefit.

Steve Shiloh - CEO Update Continued

- Staff shortages remain a concern with a 26% vacancy rate
 - WCI Laundry closed, CARES on hold, Design temporarily idled, Recycling will close by end of year
- Annapolis Showcase went well
- Budget testimony went well – no issues. We received a question about maintaining revenues and expressed that \$60 million will not be maintained due to decreased capital projects, etc.
- We hope to maintain our \$50 million MFR goal and are looking at a \$53 - \$54 million year. Retained earnings are at 10%, but most likely overstated. We do have restricted cash for special projects, equipment, etc.

Dave Jenkins – Financial Planning Update

- Financial Planning was scheduled to start last week at MCIW, but delayed one week to shop staffing/ availability.
- Class will run for nine sessions at MCIW– very high interest. We will try to run 2-3 classes per year.
- Working with our Chief Administrative Officer to investigate enhancing personal finances. We will be in contact with our subgroup and have been working with the National Correctional Industries Association for Guidance.
 - Jack Weber is supportive of the idea; housing and employment are major issues
 - Nikki Zaahir noted that many returning citizens struggle with basic socialization
 - Melvin Forbes noted that many returning suffer from PTSD and cannot receive the assistance they need. We should do all we can to continue to support reentry efforts.

- Dave Jenkins noted that MCE and DLLR continue to bring in normalization, community and business standards.
- Fred Mason asked if production was being cut back due to safety or lack in production. Steve Shiloh noted that we want to have a safe civilian to inmate ratio. Due to safety concerns; we cannot allow inmates to work in supervisory capacities.

Dave Jenkins – Inmate Concerns Survey

- As in the past, the survey will be based on a ten percent sample, with a minimum of five inmates surveyed per shop.
- I review all incoming surveys for security issues and submit concerns to our Chief Operating Officer.
 - Joe noted that an inmate with hearing impairment requested safety signs for equipment and the need was addressed immediately.
- Plants are receiving mainly positive comments with a total of 17 plant submissions collected.
- Mailing and Distribution will be handling scoring this year, with the exception of their plant and the MCIW sewing plant.
- So far the patterns of inmate responses are similar to previous years.

Ashley Lohr – Manufacturing in Maryland Update

- Please review Customer Council notes in folder
- Per our mandate, we annually review impact on Maryland manufacturing.
- Last available survey was completed in 2016 and shows MCE having an overall .14% share of MD manufacturing.
- Assuming a 1.7% growth rate from 2013 to 2016 for individual Maryland Manufacturing sectors, MCE has only a .32% market share for food, textiles, printing, furniture and miscellaneous manufacturing. Actual statistics after 2013 are not available.
- Steve noted that based on our findings, MCE does not have a negative impact on manufacturing in Maryland.

Management Council Member Reports

- Alice Wirth – DLLR
 - Hoping to start barbering program at MCIW by July 1st
 - Correctional Educational Council Meeting next week; I will be attending conference regarding technology behind the fence. There is a concern that national testing is now done all online.
 - Working on a three year project regarding licensing and certification barrier removal.
- Sarah Myers – GOCCP
 - Notice of funding will be released; this was slightly delayed this year
- Jack Weber – Uptown Press

- CARES program participant is going through a marriage preparation class
- Vehicle for Change Partnership has been beneficial for returning citizens
- Greater Baltimore Community – we are reaching out to explain the benefits of hiring a former offender
- Holding a presentation at BCCC
- Melvin Forbes noted that MCE is taking on additional work due to difficulties in implementing an ERP.
- Fred Mason – MSDE
 - Ongoing efforts to increase educational funds
 - Maryland is in need of construction workers, can MCE provide training?
 - Steve noted that there are strict limitations in our involvement with construction.
 - Dave asked if we could inquire on company policies regarding the hiring of former offenders.
 - Alice Wirth noted DLLR offers training in several business trades.
- Nikki Zaahir – Vehicles for Change
 - Expanding into Overlea location to be offered to returning citizens
 - 80 men and 3 women have graduated the program; only one has returned to prison. Unfortunately three graduates overdosed within a sixty day timeframe. It was a shock to program and employers.
 - Two individuals are pending hiring at MTA. We are still working on bringing that partnership to fruition.
- John Gontrum – Comptroller's Officer
 - No Report
- Joe Evans – USM
 - Initially a bill was requested to raise the limit to purchase items without requesting procurement through MCE. After research was conducted, this bill proved to be unnecessary. Joe noted that MCE provides waivers promptly when applicable.
- Melvin Forbes – Wilkerson Sports Enterprise
 - We acquired an organization focused on water. The current Administration wants to use our model to create 300,000 jobs. Implementation will be modeled after our telecommunication template.

Meeting Adjourned: 10:45 AM